P 1 8

Pre-Leaving Certificate Examination, 2022

ACCOUNTING – HIGHER LEVEL

(400 marks)

TIME: 3 HOURS

This paper is divided into 3 Sections:

Section 1: Financial Accounting (120 marks).
This section has four questions (Numbers 1 to 4). The first question **(A or B)** carries 120 marks and the remaining three questions carry 60 marks each. Candidates should answer either **QUESTION 1 (A or B) only** OR attempt any **TWO** of the remaining three questions in this section.

Section 2: Financial Accounting (200 marks).
This section has three questions (Numbers 5 – 7). Each question carries 100 marks. Candidates should answer any **TWO** of these questions.

Section 3: Management Accounting (80 marks).
This section has two questions (Numbers 8 and 9). Each question carries 80 marks. Candidates should answer **ONE** of these questions.

Calculators
Calculators may be used in answering the questions on this paper. It is very important that workings are shown in the answer book(s) so that full credit can be given for correct work.

SECTION 1 (120 marks)
Answer **Question 1(A or B)**
OR
any **TWO** other questions

1. Answer (A) OR (B)

(A) Company - Final Accounts

Min Jee Ltd has an authorised capital of €1,500,000 divided into 1,000,000 ordinary shares at €1 each and 500,000 4% preference shares at €1 each. The following trial balance was extracted from its books on 31/12/2021.

	€	€
Debenture interest paid for first 6 months	4,600	
Bad debt provision		2,550
Advertising	18,000	
Audit fees	22,000	
Purchases and sales	378,450	610,050
6% Debentures (including 100,000 issued on 01/02/2021)		250,000
Capital reserve		40,000
Issued share capital:		
Ordinary shares		650,000
4% Preference shares		100,000
Stock 01/01/2021	26,500	
Profit and loss balance 01/01/2021		56,270
Patents (incorporating 3 months' investment income)	45,000	
Debtors and creditors	38,000	29,750
Salaries and general expenses (including suspense)	123,350	
Land and buildings at cost	850,000	
Accumulated depreciation on land and buildings		44,000
Delivery vans (cost €125,000)	85,000	
4% Investments 01/07/2021	200,000	
Dividends paid	24,000	
VAT		3,500
Discount (net)		1,280
Bank		27,500
	1,814,900	1,814,900

The following information and instructions are to be taken into account:

(i) Stock on hand at 31/12/2021 at cost was €23,800. This figure includes stock originally purchased for €3,200 but now has a net realisable value of 75% of its original cost.

(ii) The suspense figure arises as a result of an incorrect figure for debenture interest (although the correct figure was entered in the bank account) and credit purchases of €2,600 entered on the incorrect side of the creditor's account.

(iii) Patents, which incorporates 3 months' investment income, are to be written off over 5 years starting in 2021.

(iv) Towards the end of December 2021, goods with a retail value of €12,000 were received from a **supplier**. The goods were sent by the supplier on a 'Sale or Return' basis and had a mark-up on cost of 25%. These goods had been treated as a credit purchase in the accounts of Min Jee Ltd.

(v) Provide for depreciation on delivery vans at a rate of 20% of cost per annum from the date of purchase to the date of sale.

Note: On 30/09/2021, a delivery van which had cost €30,000 on 30/06/2018, was traded in against a new van which had cost €35,000. An allowance of €12,500 was made on the old van. The cheque for the net amount of this transaction was entered in the Bank account but was incorrectly treated as a purchase of trading stock. These were the only entries made in the books in respect of this transaction.

(vi) The advertising payment is a payment for a 15-month campaign which started on 01/10/2021.

(vii) The bank figure in the trial balance has been taken from the firm's bank account. However, a bank statement dated 31/12/2021 has arrived showing an overdraft of €25,650.
A comparison of the bank account and the bank statement revealed the following discrepancies:

1. A payment from a liquidator was received directly into the Bank. This represents a first and final payment of 40c in the euro in respect of a debt of €6,000.
2. Investment income of €1,200 had been paid directly to the firm's bank account.
3. A cheque for €450 paid to a supplier had been entered in the books (cash book and ledger) as €540.
4. Min Jee Ltd had made lodgements of €2,800, but these were not yet credited by the bank.
5. A cheque for €960 issued to a creditor had not yet been presented for payment.

(viii) During the year, stock which cost €2,350 was destroyed by fire. The insurance company have agreed to pay compensation of €2,000.

(ix) The land and buildings figure includes land at original cost of €200,000. Buildings are to be depreciated at the rate of 2% of cost per annum. At the end of 2021, the company decided to revalue land and buildings at €1,000,000. The land element of this new value is €250,000.

This revaluation has yet to be reflected in the accounts.

(x) Provision should be made for the following:

1. Provision to be made for investment income and debenture interest due.
2. Provision for bad debts to be adjusted to 5% of debtors.
3. The managing director should be paid a bonus commission of 4% on all sales in excess of €400,000.

Required:

(a) Prepare a trading, profit and loss account for the year ended 31/12/2021. (70)

(b) Prepare a balance sheet as at 31/12/2021. (50)

(120 marks)

1. (B) Sole Trader - Final Accounts

The following trial balance was extracted from the books of Gus Flynn on the 31/12/2021:

	€	€
Purchases and sales	345,000	570,000
2% Investments acquired on 01/02/2021	120,000	
Commission	4,500	
Provision for bad debts		1,950
Salaries and general expenses	65,800	
Stock 01/01/2021	26,500	
Insurance (incorporating suspense)	12,500	
Rent	4,500	
Mortgage Interest (paid for the first six months)	9,400	
VAT	1,875	
PAYE, PRSI and USC		7,950
Buildings (cost €450,000)	390,000	
Delivery vans (cost €75,000)	45,000	
Office equipment (cost €16,000)	12,000	
Debtors and creditors	51,260	77,935
Advertising	12,500	
8% Fixed mortgage		250,000
Discount (net)	150	
Bank	33,450	
Drawings	23,400	
Capital		250,000
	1,157,835	1,157,835

The following information and instructions are to be taken into account:

(i) Stock at 31/12/2021 at cost was €32,300. During the year, stock which had cost €4,000 was destroyed by fire. The insurance company has agreed to pay compensation of €3,750.

(ii) Provide for depreciation on delivery vans at an annual rate of 20% of cost from the date of purchase to the date of sale.

Note: On 30/09/2021, a delivery van, which had cost €25,000 on 30/06/2017, was traded in against a new van which cost €40,000. An allowance of €14,000 was made on the old van. The cheque for the net amount of this transaction was entered in the bank account but was incorrectly treated as a purchase of trading stock. These were the only entries made in the books in respect of this transaction.

(iii) A supplier who was owed €3,000 accepted office equipment with a book value €2,800 in full settlement of the debt. The office equipment had cost €4,000. No entry was made in the books in respect of this transaction. Provide for depreciation on office equipment held on 31/12/2021 at the rate of 15% of cost.

(iv) A new warehouse was purchased on 01/01/2021 for €170,250 including VAT of 13.5%. The amount paid to the vendor was entered in the buildings account. No entry was made in the VAT account.

(v) No record has been made in the books for 'goods in transit' on 31/12/2021. The invoice for these goods had been received showing the recommended retail selling price of €15,000, which is cost plus 20%.

(vi) The figure for bank in the trial balance has been taken from the business bank account. However, a bank statement dated 31/12/2021 has arrived showing a balance of €34,055 in the bank current account. A comparison of the bank account and the bank statement revealed the following discrepancies:

1. A cheque paid for insurance €3,000 has not yet been presented for payment.
2. A cheque for €2,000 received from a customer had been returned dishonoured. This had not been recorded in the books.
3. Bank charges of €125 were not recorded in the business bank account.
4. A cheque for €690 received from a customer had been entered in the books (cash book and ledger) as €960.

(vii) Goods taken by Flynn for his own use during the year were omitted from the books. These goods had a retail value of €6,250, which is cost plus 25%,

(viii) Provide for depreciation on buildings at a rate of 2% of cost per annum. It has been decided to revalue the buildings at €500,000 on 31/12/2021.

(ix) The suspense figure arises as a result of the posting of an incorrect figure for mortgage interest in the mortgage interest account (although the correct figure for mortgage interest had been entered in the bank account) and a payment of €950 received from a debtor entered only in the bank account.

(x) Provision to be made for mortgage interest due and investment income due at 31/12/2021.

Required:

(a) Prepare a trading and profit and loss account for the year ended 31/12/2021. (70)

(b) Prepare a balance sheet as at 31/12/2021. (50)

(120 marks)

2. Revaluation of Fixed Assets

On 1st January 2017, Morikawa Ltd owned freehold buildings which cost €400,000 and adjacent land which cost €100,000. The company depreciates its buildings at a rate of 2% per annum using the straight line method. It is the company policy to apply a full year's depreciation in the year of acquisition and no depreciation in the year of disposal. This property had been purchased on the 01/01/2012 and depreciation had been charged against profits in each of these five years (land is not depreciated).

The following details were taken from the firm's books:

Jan 1 2017 Revalued land and buildings at €700,000. Of this revaluation, €200,000 was attributable to land.

Jan 1 2018 Sold for €250,000 land which cost €100,000 but was since revalued at 01/01/2017.

Jan 1 2019 Purchased buildings for €150,000. During 2019, €45,000 was paid to a building contractor for an extension to these recently purchased buildings. The company's own employees also worked on the extension and they were paid wages amounting to €20,000 by Morikawa Ltd for this work. There were architect's fees of €5,000 and solicitor's fees of €4,000 associated with this extension.

Jan 1 2020 Revalued buildings owned at €905,000 (a 25% increase in respect of each building). During 2020, Morikawa Ltd spent €25,000 in respect of repairs to the building.

Jan 1 2021 Sold for €700,000 the buildings purchased on 01/01/2012. The remaining buildings were revalued at €350,000.

You are required to:

(a) Prepare the relevant ledger accounts in respect of the above transactions for the years ended 31/12/2017 to 31/12/2021 (bank account and profit and loss account not required). (54)

(b) (i) Show the relevant extract from the profit and loss account for the year ended 31/12/2021.

(ii) Explain the difference between capital expenditure and revenue expenditure. Give one example in each case from the information in the question to support your answer. (6)

(60 marks)

3. Club Account

Included among the assets and liabilities of Sandwich Golf Club on 01/01/2021 were the following:

Clubhouse and course €800,000, machinery €75,000, bar stock €3,600, bar debtors €150, bar creditors €1,250, life membership €60,000, subscriptions due €2,500, investment interest due €550, levy reserve fund €25,000, wages due €2,150.

The club treasurer has supplied the following account of the club's activities during the year ended 31/12/2021:

Receipts and payments account for the year ended 31/12/2021

	€		€
Balance 01/01/2021	7,000	Machinery	35,000
Competition receipts	44,500	Bar purchases	23,700
Income from 2% investments	1,900	Catering purchases	4,500
Bar receipts	59,250	Competition prizes	29,500
Entrance fees	24,000	General expenses	25,000
Annual sponsorship	12,000	Dishonoured cheque	250
Machinery grant	30,000	Bank loan plus 15 months'	
Subscriptions	140,000	interest paid at 8% per	
Catering receipts	7,500	annum on 31/08/2021	66,000
		Prize bonds	2,000
		Balance 31/12/2021	140,200
	326,150		326,150

You are given the following additional information and instructions:

(i) Bar stock (including catering stock €700) on 31/12/2021 was €5,700.

(ii) Machinery owned on 31/12/2021 is to be depreciated at the rate of 15% of cost.

(iii) The clubhouse only is to be depreciated by 2% of cost. The land on the course was valued at €600,000

(iv) Bar debtors and bar creditors on the 31/12/2021 are €700 and €3,150 respectively.

(v) Subscriptions include:
- (a) Levy of €50 each due from 25 members for 2020;
- (b) Levy of €50 on this year's 800 members;
- (c) Subscriptions for 2022 amounting to €1,500;
- (d) 3 new life members, bringing the total to 18.

(vi) The dishonoured cheque was from a member who was paying the last instalment of his 2021 subscription. He has agreed to pay the amount owed along with next year's subscription in 2022.

(vii) Life membership is to be written off over a 15-year period commencing in 2021.

Required:

(a) Show the club's accumulated fund (capital) on 01/01/2021. (24)

(b) Show the income and expenditure account for the year ended 31/12/2021. (28)

(c) As treasurer of the club what recommendations would you bring to the members when presenting these accounts at an AGM? (8)

(60 marks)

4. Cash Flow Statement

The following are the balance sheets of Poulter plc as at 31/12/2020 and 31/12/2021, together with an abridged profit and loss account for the year ended 31/12/2021.

Abridged profit and loss account for the year ended 31/12/2021

	€
Operating Profit	92,560
Investment income receivable	5,000
Interest for the year	(12,000)
Profit before taxation	85,560
Taxation for the year	(32,000)
Profit after taxation	53,560
Dividends paid	(22,000)
Retained profit	31,560
Retained profit on 01/01/2021	272,290
Retained profit on 31/12/2021	303,850

Balance Sheets as at ...	**31/12/2021**		**31/12/2020**	
	€	€	€	€
Intangible Assets				
Goodwill		80,000		90,000
Fixed Assets				
Land and buildings at cost	715,000		650,000	
less accumulated depreciation	(53,000)	662,000	(41,000)	609,000
Machinery at cost	120,000		76,000	
less accumulated depreciation	(35,000)	85,000	(24,000)	52,000
		747,000		661,000
Financial Assets				
2% Investments at cost		100,000		250,000
		927,000		1,001,000
Current Assets				
Stock	43,000		27,000	
Debtors (less 4% provision)	14,400		15,840	
Cash	1,200		1,400	
Bank	- - -		6,500	
Short-term deposits	25,000		40,000	
Investment income due	250		350	
	83,850		91,090	
Less Creditors: amounts falling due within one year				
Trade creditors	23,000		18,500	
Bank	3,500		- - -	
Interest due	2,500		3,000	
Taxation	8,500		11,300	
	37,500	46,350	32,800	58,290
		973,350		1,059,290
Financed by:				
Creditors: amounts falling due after more than one year				
8% Debentures 2026/2027		150,000		300,000
Capital and Reserves				
Ordinary shares @ €1 each	400,000		375,000	
4% Preference shares	100,000		100,000	
Share premium	19,500		12,000	
Profit and loss account	303,850	823,350	272,290	759,290
		973,350		1,059,290

The following information is also available:

1. There were no disposals of machinery during the year, but new machinery was acquired.

2. New buildings were purchased during the year for €100,000. Buildings were sold during the year at a profit of €25,000.

3. Depreciation charged for the year on buildings in arriving at the operating profit was €22,000.

4. Goodwill is being amortized by €10,000 per annum, which commenced in 2019.

5. Investments and short-term deposits were disposed of on the 31/12/2021 for their value in the balance sheet.

Required:

(a) Prepare the cash flow statement of Poulter plc for the year ended 31/12/2021 including reconciliation statements. (52)

(b) (i) Outline the reasons why cash flow statements are prepared.
(ii) Financial Reporting Standard 1 (FRS 1) requires companies to prepare a cash flow statement. What is a Financial Reporting Standard? (8)

(60 marks)

SECTION 2 (200 marks)
Answer any **TWO** questions

5. Interpretation of Accounts

The following figures have been extracted from the final accounts of Gourmet plc, a company which is in the supermarket business, for the year ended 31/12/2021. The company has an authorised capital of €1,500,000 made up of 1,000,000 ordinary shares at €1 each and 500,000 4% preference shares at €1 each. The firm has already issued 300,000 ordinary shares and 100,000 preference shares.

Trading and Profit & Loss Account for year ended 31/12/2021		
	€	€
Sales		840,000
Opening stock	64,000	
Closing stock	72,000	
Cost of goods sold		(520,000)
Operating expenses for year		(60,000)
Interest		(21,000)
Net profit for year		239,000
Dividends paid		(26,000)
Retained profit		213,000
Profit and loss balance 01/01/2021		66,000
Profit and loss balance 31/12/2021		279,000

Relevant figures for 2020 are:	
Earnings per ordinary share	46c
Dividend per ordinary share	4c
Gearing	38%
Return on capital employed	18.00%
Dividend yield	3.23%
Dividend cover	11.5 times
Market price of one ord. share	€1.24
Quick ratio	0.85:1
Interest cover	8 times

Balance Sheet as at 31/12/2021			
	€	€	€
Fixed Assets			
Intangible assets		50,000	
Tangible assets		800,000	
Investments (market value €95,000)		75,000	925,000
Current Assets			
Stock	72,000		
Debtors	45,000		
Cash	1,000	118,000	
Less Creditors: (amounts falling due within 1 year)			
Trade creditors	57,000		
Bank overdraft	7,000	(64,000)	
			54,000
			979,000
Financed by:			
Creditors (amounts falling due after 1 year)			
7% Debentures (2024/2025 secured)			300,000
Capital and Reserves			
Ordinary shares @ €1 each		300,000	
4% Preference shares @ €1 each		100,000	
Profit and loss balance		279,000	679,000
			979,000

The market value of one ordinary share at 31/12/2021 was €**1.65**

(a) **You are required to calculate the following for 2021:**
(where appropriate calculations should be made to **two** decimal places).

(i) Cash purchases if the period of credit received from trade creditors is 2.5 months.

(ii) Dividend yield.

(iii) Dividend cover.

(iv) Stock turnover.

(v) How long it would take to recoup (recover) its 2021 market price based on present payout rate? (45)

(b) Dan Kelly, chairman of Star Finance Ltd, the debenture holders, has approached you, Peter Silke, an independent financial consultant, to seek your advice. He wants you to prepare a report indicating whether Star Finance Ltd should be satisfied with the performance, state of affairs and prospects of the company. Write a report on your assessment of Gourmet plc. The report is to be presented on 16th April 2022. You should include relevant ratios and other information in your report. (45)

(c) Outline the differences between ordinary shares and preference shares. (10)

(100 marks)

6. Correction of Errors and Suspense Account

The trial balance of Seamus Power, owner of a garden centre, failed to agree on the 31/12/2021. The difference was entered in a suspense account and the following balance sheet was prepared.

Balance Sheet as at 31/12/2021			
	€	€	€
Fixed Assets	**Cost**	**Dep. to date**	**Net**
Premises	250,000	24,000	226,000
Equipment	16,000	3,200	12,800
Motor vehicle	30,000	6,000	24,000
	296,000	33,200	262,800
Current Assets			
Stock	17,480		
Debtors	9,500		
Cash	3,650	30,630	
Creditors: amounts falling due within 1 year			
Creditors (including suspense)	11,210		
Bank	7,500		
VAT	4,350		
Expenses due	360	(23,420)	
Net current assets			7,210
Total assets less current liabilities			270,010
Financed by:			
Capital		240,000	
Net profit		48,000	
		288,000	
Less drawings		(17,990)	270,010
			270,010

On examination of the books, the following errors and omissions were revealed:

(i) Power sent a cheque for €750 in full settlement of a business debt of €800 and this was recorded correctly in the books. However, no entry had been made in the books for the dishonouring of this cheque and the subsequent payment in full by Power from a personal bank account.

(ii) A payment of €250 was received from G. Woodland, a debtor, whose debt had been previously written off and who wishes to trade with Power again. This represents 40% of the original debt and the debtor has undertaken to pay the remainder of the debt by January 2022. No entry had been made in the books.

(iii) A private debt of €400, owed to Power, had been offset in full settlement against a business debt of €425 owed by Power for garden utensils previously purchased. No entry had been made in the books in respect of this offset.

(iv) Power purchased stock on credit from Green Wholesalers Ltd for €1,000 plus VAT at 13.5%. The only entries in the accounts were that the VAT exclusive figure was entered on the debit side of Green Wholesalers Ltd's account and the VAT inclusive figure was entered on the debit side of the purchases account.

(v) A creditor who was owed €1,750 by Power accepted equipment, the book value of which was €1,600, in full settlement of the debt. The equipment had cost €3,500. The only entry in respect of this transaction was that the creditor's account was credited with €1,750.

Required:

(a) Journalise the necessary corrections. (50)

(b) Show Power's suspense account. (8)

(c) Prepare a statement showing the corrected net profit for Power. (12)

(d) Prepare the corrected balance sheet of Power. (22)

(e) (i) Outline the purpose of a suspense account.
(ii) Explain what is an error of principle. Give one example. (8)

(100 marks)

7. Incomplete Records

On 01/01/2021, Justin Johnston purchased a business for €450,000 consisting of the following tangible assets and liabilities: premises €370,000; stock €25,000; debtors €41,900; 4 months' premises insurance prepaid €750; trade creditors €11,500; wages due €2,650. There was also €200 in a cash box.

During 2021 Johnston did not keep a full set of accounts but was able to supply the following information on 31/12/2021:

Cash Payments: Lodgements €105,000, purchases €83,000, general expenses €43,500.

Bank Payments: Equipment €15,000, creditors €54,000, annual premises insurance €4,200, college fees €14,000, delivery van €20,000, light and heat €3,150, loan interest paid to date €3,200.

Bank Lodgments: Debtors €45,600, cash €105,000, lotto win €25,000.

Johnston took from stock goods to the value of €400 per month and cash of €12,000 for the year.

On 01/10/2021, he borrowed €300,000, part of which was used to purchase an adjoining premises costing €275,000. Johnston agreed to repay the loan over ten years in equal instalments, the first being due on the 01/10/2022. The rate of interest to be charged is 6% per annum.

Johnston estimated that 20% of light and heat used and 20% of interest payable for the year should be attributed to the private section of the premises. 25% of the equipment purchased is for private use. Of the college fees, €8,000 related to an employee who is being supported by the firm to further his studies. The remainder related to a covenant Johnson made with his son, who is now going to college.

In December, Johnston received an invoice for goods that were in transit but had not yet arrived. The recommended retail price of these goods was €6,000, which included a mark-up on cost of 20%. No account of this transaction has been recorded in Johnston's books.

It was decided that the premises is to be depreciated by 2% on cost per annum and that equipment will be depreciated by 20% straight line.

Included in the assets and liabilities of the firm on 31/12/2021 were: stock €29,800, debtors €33,500, trade creditors €23,600, cash €470, light and heat due €415. He also had a stock of heating oil of €480. The delivery van now had an estimated value of €16,000.

Required

(a) Prepare a trading and profit and loss account for the year ended 31/12/2021. (50)

(b) Prepare a balance sheet as at 31/12/2021 (35)

(c) Using relevant ratios comment on the gearing position for 2021. (15)

(100 marks)

SECTION 3 (80 marks)
Answer **ONE** question

8. Marginal Costing

Xander Ltd manufactures a new type of electric golf trolly. The company's profit and loss account for the year ended 31/12/2021, during which 2,500 units were bought and sold, was as follows:

	€	€
Sales (2,500 units)		1,250,000
– Cost of Sales		
Direct materials	187,500	
Direct labour	312,500	
Factory overheads	400,000	
Selling expenses	75,000	
Administration expenses	45,000	1,020,000
Net Profit		230,000

The materials, direct labour and 25% of the factory overheads are variable costs. Apart from sales commission of 4% on sales, selling and administration expenses are fixed.

Required:

(a) Calculate the company's break-even point and margin of safety in units.

(b) The number of units that must be sold in 2022 if the company is to increase its net profit by 15% over the 2021 figure, assuming the selling price and cost levels and percentages remain unchanged.

(c) The profit/loss the company would make in 2022 if it reduced its selling price to €475, increased fixed costs by 20% and thereby increased the number of units sold by 10%, with all other cost levels and percentages remaining unchanged.

(d) The selling price the company must charge per unit in 2022, if fixed costs increase by 10% but the volume of sales and profit remains the same.

(e) The number of units that must be sold at €525 per unit to provide a profit of 20% of the revenue received from these same units.

(f) **Comment on the following:**
If the company spent €100,000 on research and IT development, it is estimated that the improvements in efficiency would amount to savings of €25 per unit with a sales volume of 3,000 units.

Prepare a marginal costing statement for this option and comment on your findings.

(g) (i) What factors should Xander Ltd take into account when deciding on budgeted sales for 2022?
(ii) What are the main differences between **Financial** and **Cost and Management** accounting?

(80 marks)

9. Budgeting

Watson Ltd is planning to set up business on 01/07/2022 to manufacture a single product. Below is the sales budget for the company for its first 6 months of trading.

Sales Budget

	July	Aug	Sept	Oct	Nov	Dec
Sales units	150	175	190	230	250	300
Sales revenue (€)	22,500	26,250	28,500	34,500	37,500	45,000

(i) The product requires 4 kgs of material R per unit, which costs €3.00 per kg.

(ii) Stocks of finished goods are maintained at 80% of the following month's sales requirements.

(iii) Stocks of raw materials, sufficient for 25% of the following month's requirements in kgs, are held at the end of each month.

(iv) The cash collection pattern from sales is expected to be:

Cash Customers 40% of sales revenue for immediate cash, for which a 4% cash discount is allowed.

Credit Customers 60% of sales revenue will be from credit customers. These debtors will pay their bills, 70% in the month after sale and the remainder in the second month after sale.

(v) Suppliers are paid within one month, for which a discount of 2% is received.

(vi) Expenses of the business will be settled as follows:

Expected Costs: Wages €3,500 per month, payable one month in arrears. A commission of 2% of sales revenue is also payable one month in arrears. Variable overheads €6 per unit, payable as incurred.
Fixed overheads (including depreciation) €12,000 per month, payable as incurred.

Capital Costs: Equipment costing €19,500 will be purchased on July 1st and paid for on September 1st. It will have a useful life of 10 years and thereafter is expected to have a scrap value of €1,500.

Financing: To finance the purchase of the equipment, a loan of €18,000 will be secured on September 1st. Interest at 6% per annum is to be paid monthly, but capital loan repayments will not commence until March 2023. Watson Ltd has arranged an overdraft limit of €10,000 with the bank. Provided it stays within agreed limit interest will be charged at 8% per annum payable one month later.

(Calculations to the nearest euro.)

Required:

(a) Prepare a production budget for the four months July to October 2022.

(b) Prepare a raw materials purchases budget (in units and €) for the four months July to October 2022.

(c) Prepare a cash budget for the four months July to October 2022.

(d) Prepare a budgeted trading and profit and loss account for the four months ending 31/10/2022 (if the actual cost of a unit of finished goods is €50).

(e) Calculate the budgeted debtors figure, the budgeted creditors figure and the estimated value of equipment on the 31st October 2022.

(80 marks)